

Stellar returns

Year	Annual Return
1998	20.7%
1999	21.8%
2000	23.2%
2001	23.8%
2002	24.3%
2003	27.4%
2004	31.4%
2005	31.8%
2006	27.4%
2007	28.9%
2008	27.8%
2009	28.2%
2010	27.3%
2011	27.1%
2012	25.5%

“Excluding dividends,” Donville writes, “the stock is a 49-bagger over the past sixteen years.” If you add in dividends, the stock has delivered an annualized return of 28 percent. This is pretty close to Home Capital’s ROE.

Donville spends a lot of time looking for companies like Home Capital for his fund. These are companies that consistently earn ROEs of 20 percent or better. It’s not the only factor because high-ROE companies can still be lousy investments. Price matters, for example. (Microsoft has always had a great ROE but was a lousy stock for a decade after 2000.)

But once you find a Home Capital, the goal is “to hold this stock or basket of stocks for as long as the company can achieve said returns. Easier said than done, but nonetheless achievable.”

Donville writes a quarterly letter called the *ROE Reporter*. He writes about stocks that meet his criteria. These are mostly Canadian companies, as Donville focuses on Canada. His picks for 2014, in the January letter, included Home Capital.

I share the Donville story to make a couple of points. First, it’s important to think about what a company can earn on the money it invests.